

ACME CORPORATION

INVOICE PROCESSING & PAYMENT POLICY

Policy Reference: FIN-POL-001 | Version: 3.2 | Effective Date: 01 January 2025 | Review Date: 31 December 2025

1. PURPOSE AND SCOPE

This policy establishes the framework and procedures for processing, approving, and paying invoices received by Acme Corporation. It applies to all departments, employees, contractors, and third-party suppliers submitting or processing invoices. Compliance with this policy ensures financial control, audit readiness, and timely payments to approved vendors.

This policy covers all purchase invoices, service invoices, recurring invoices, utility bills, and expense reimbursements submitted to the Finance Department for payment.

2. APPROVAL THRESHOLDS AND AUTHORITY MATRIX

All invoices must be reviewed and approved by the appropriate authority based on the invoice amount. The following approval matrix is mandatory and non-negotiable:

Invoice Amount (GBP)	Required Approval	Turnaround Time	Escalation
Up to £10,000	Auto-Approved (System Processed)	Same Day	N/A
£10,001 – £50,000	Finance Manager Approval	2 Business Days	Head of Finance
£50,001 – £100,000	CFO Approval Required	3 Business Days	CEO
£100,001 – £500,000	CFO + Board Approval	5 Business Days	Chairman
Above £500,000	Full Board Resolution Required	10 Business Days	Board Committee

Note: Any invoice from a vendor not on the Approved Vendor List requires an additional Procurement Manager sign-off regardless of the invoice amount.

3. VENDOR APPROVAL AND ONBOARDING PROCESS

Acme Corporation operates a strict Approved Vendor List (AVL). No invoice from a new or unapproved vendor will be processed for payment until the vendor onboarding process is fully completed.

3.1 Approved Vendor List (AVL)

The Procurement team maintains the AVL and updates it on the 1st of each month. Vendors on the AVL have completed all required due diligence, compliance checks, and contract negotiations. To check vendor status, contact procurement@acmecorp.com or query the ERP system using the vendor's registered company number.

3.2 New Vendor Onboarding Requirements

To register a new vendor, the following must be submitted to Procurement:

- Completed Vendor Registration Form (Form PRO-001)
- Company registration certificate and VAT registration number
- Bank account details on company letterhead (for payment setup)
- Signed copy of Acme's Supplier Code of Conduct
- Insurance certificates (minimum £2M public liability)
- Most recent 2 years audited financial statements (for contracts >£50,000)
- Anti-bribery and corruption compliance declaration

Standard vendor onboarding takes 10–15 business days. Urgent onboarding (5 business days) requires Head of Procurement approval and a £500 processing fee charged to the requesting department.

3.3 Vendor Status Categories

Status	Meaning	Invoice Processing
APPROVED	Fully onboarded, AVL active	Proceed normally
CONDITIONAL	Temporary approval, 90-day limit	Requires Finance Manager sign-off
SUSPENDED	Under review / compliance issue	HOLD — do not process
BLACKLISTED	Permanently removed from AVL	REJECT — escalate to Legal
PENDING	Onboarding in progress	HOLD — await approval

4. INVOICE SUBMISSION REQUIREMENTS

All invoices submitted to Acme Corporation must meet the following mandatory requirements. Non-compliant invoices will be rejected and returned to the vendor within 2 business days.

4.1 Mandatory Invoice Fields

- Unique invoice number (vendor's own reference)
- Invoice date and tax point date
- Vendor's full legal company name, registered address and VAT number
- Acme Corporation's full legal name and registered address
- Purchase Order (PO) number — invoices without PO will be rejected
- Itemised description of goods or services with unit price and quantity
- Net amount, VAT amount (if applicable) and gross total
- Bank account details for payment (must match registered bank account)
- Payment terms reference (e.g., NET 30)

4.2 Invoice Submission Channels

- Preferred: Email to invoices@acmecorp.com (PDF format, max 10MB)
- ERP Portal: Vendor self-service portal at vendor.acmecorp.com
- Post: Finance Department, Acme Corporation, 100 Business Park, London, EC1A 1BB
- Paper invoices: Accepted but may delay processing by 3-5 business days

5. PAYMENT TERMS AND CONDITIONS

5.1 Standard Payment Terms

Payment Term	Description	Applicable To
NET 30	Payment within 30 days of invoice date	Standard vendors
NET 60	Payment within 60 days of invoice date	Large enterprise vendors
NET 7	Payment within 7 days of invoice date	Critical/urgent services
COD	Cash on delivery	New/unregistered vendors
EOM+30	End of month + 30 days	Utility and recurring

5.2 Early Payment Discount Policy

Acme Corporation offers an early payment discount programme for qualifying vendors. The following discount tiers are available upon mutual agreement and must be stated on the invoice:

- 2% discount if payment made within 10 days of invoice date (2/10 NET 30)
- 1% discount if payment made within 15 days of invoice date (1/15 NET 30)

- 0.5% discount if payment made within 20 days of invoice date (0.5/20 NET 30)

To qualify for early payment discount, the vendor must be on the AVL, invoice must be compliant, and request must be submitted within 2 business days of invoice receipt.

5.3 Late Payment Policy

Acme Corporation will not accept late payment penalties from vendors unless the delay is attributable solely to Acme's failure. In cases where payment is delayed due to invoice disputes or missing documentation, the payment clock restarts from the date the corrected invoice is received. Vendors claiming late payment interest must submit a formal written request to finance@acmecorp.com.

6. CURRENCY AND FOREIGN INVOICE POLICY

Acme Corporation's functional currency is GBP (British Pounds Sterling). The following rules apply to invoices in foreign currencies:

- All invoices must be submitted in GBP unless a multi-currency contract exists
- Foreign currency invoices require prior written approval from the Finance Director
- Approved foreign currency invoices are converted at the Bank of England mid-market rate on the invoice date
- Currency conversion costs are borne by the vendor unless otherwise agreed in the contract
- USD, EUR and MYR invoices may be accepted with Finance Director approval for qualifying international suppliers
- All foreign currency invoices above £25,000 equivalent require CFO sign-off on the exchange rate applied

7. RECURRING INVOICE PROCESS

Recurring invoices (monthly retainers, software subscriptions, facility management contracts) follow a streamlined approval process:

- Must be pre-approved annually via a Standing Purchase Order (SPO) raised by the relevant department head
- SPO must specify: vendor, amount, frequency, start date, end date, and budget code
- Recurring invoices within 5% of SPO amount are auto-approved and processed without manual review
- Variances greater than 5% trigger standard approval workflow based on amount thresholds in Section 2
- Annual review of all SPOs is mandatory — renewal must be approved by 30 November each year for the following year
- Cancellation of recurring invoices requires 30 days written notice to both the vendor and Finance Department

8. INVOICE DISPUTE RESOLUTION PROCESS

Disputed invoices must be handled promptly to maintain vendor relationships and avoid penalty interest. The following process must be followed:

8.1 Grounds for Invoice Dispute

- Invoice amount does not match the Purchase Order or contract value
- Services or goods described do not match what was delivered
- Duplicate invoice — same work already invoiced and paid
- Missing or incorrect PO number
- Invoice submitted by non-approved vendor
- VAT incorrectly applied or absent when required
- Invoice received outside the agreed invoicing window (e.g., more than 90 days after service delivery)

8.2 Dispute Timeline

Step	Action	Owner	Deadline
1	Raise dispute in ERP and notify vendor by email	Finance Team	Within 2 business days of receipt
2	Vendor submits corrected invoice or supporting evidence	Vendor	Within 5 business days
3	Finance validates corrected invoice	Finance Manager	Within 2 business days
4	Approved: process for payment / Rejected: escalate	Finance Manager	Same day as validation
5	Unresolved disputes escalated to Legal	Finance Director	After 15 business days

9. EXCEPTION HANDLING PROCESS

Exceptions to this policy may be requested in the following scenarios. All exceptions require documentation and approval before the invoice is processed.

9.1 Types of Exceptions

- **Emergency Purchase:** Goods or services procured without PO due to business-critical emergency. Requires retrospective PO within 5 business days and Head of Department sign-off.
- **Unapproved Vendor:** Invoice from a vendor not on AVL. Must trigger expedited vendor onboarding. Invoice held until onboarding completes or formal exception approved by CFO.
- **Over-Budget Invoice:** Invoice exceeds approved budget code. Requires budget holder approval and Finance Director sign-off for amounts over £10,000.
- **Late Invoice Submission:** Invoice received more than 90 days after service delivery. Requires Head of Department confirmation that service was received and Finance Director approval.
- **Split Invoicing:** Multiple invoices from same vendor in same period that individually fall below thresholds. If combined total exceeds threshold, apply the higher approval level.

10. PETTY CASH AND SMALL PURCHASES

- Purchases under £100 may be processed via petty cash with receipt — no PO required
- Purchases between £100 and £500 require a manager-approved expense form
- All receipts must be submitted within 10 business days of purchase
- Monthly petty cash limit per department: £2,000
- Petty cash reconciliation must be completed by the 5th of each month

11. COMPLIANCE, AUDIT AND RECORD KEEPING

All invoice processing activities are subject to internal and external audit. The following requirements must be met:

- All invoices and supporting documentation must be retained for a minimum of 7 years
- Electronic copies must be stored in the approved document management system (SharePoint Finance Archive)
- Monthly reconciliation between ERP invoice register and bank payment records is mandatory
- Quarterly internal audit of random sample of 10% of all processed invoices
- Any suspected fraudulent invoice must be immediately reported to the Finance Director and Legal team
- Duplicate payment checks are run automatically by the ERP system — manual review required for any flagged invoices
- Segregation of duties: the person raising the PO cannot approve the invoice for payment

12. FREQUENTLY ASKED QUESTIONS

Q: What is the CFO approval limit?

A: Invoices between £50,001 and £100,000 require CFO approval. Invoices above £100,000 require CFO plus Board approval. The CFO approval turnaround time is 3 business days.

Q: What is the auto-approval threshold?

A: Invoices up to £10,000 from approved vendors with a valid PO number are automatically approved and processed on the same business day without manual review.

Q: What happens if a vendor is not on the approved vendor list?

A: The invoice is placed on hold immediately. The requesting department must initiate vendor onboarding (Form PRO-001). Standard onboarding takes 10-15 business days. The invoice will only be processed after onboarding is complete and vendor is added to AVL.

Q: How do I claim an early payment discount?

A: The discount must be stated on the invoice (e.g., 2/10 NET 30 means 2% discount if paid in 10 days). Submit your request to finance@acmecorp.com within 2 business days of invoice receipt. The vendor must be on the

AVL and invoice fully compliant.

Q: What are the standard payment terms?

A: Standard payment terms for all approved vendors are NET 30 (payment within 30 calendar days of invoice date). NET 60 applies to large enterprise vendors as specified in their contract. NET 7 is available for critical services with Finance Director approval.

Q: Can I submit an invoice without a PO number?

A: No. All invoices must reference a valid Purchase Order number. Invoices without PO numbers are automatically rejected and returned to the vendor. Contact procurement@acmecorp.com to request a retrospective PO for emergency purchases only.

Q: What is the process for invoice disputes?

A: Raise the dispute in the ERP system within 2 business days of receiving the invoice. Finance will notify the vendor who has 5 business days to submit a corrected invoice. Unresolved disputes after 15 business days are escalated to the Legal team.

Q: How are foreign currency invoices handled?

A: Foreign currency invoices require prior written approval from the Finance Director. If approved, they are converted using the Bank of England mid-market rate on the invoice date. USD, EUR and MYR may be accepted for qualifying international suppliers with Finance Director approval.

13. POLICY GOVERNANCE AND CONTACTS

13.1 Policy Owner

- Policy Owner: Chief Financial Officer (CFO)
- Policy Manager: Head of Finance Operations
- Review cycle: Annual (every January)
- Last reviewed: January 2025
- Next review due: January 2026

13.2 Key Contacts

Query Type	Contact	Email	Response Time
Invoice submission	Finance Helpdesk	invoices@acmecorp.com	1 business day
Payment status	Accounts Payable	ap@acmecorp.com	2 business days
Vendor onboarding	Procurement	procurement@acmecorp.com	2 business days
Invoice disputes	Finance Manager	finance@acmecorp.com	2 business days
Policy queries	Finance Director	fd@acmecorp.com	3 business days
CFO approvals	CFO Office	cfo@acmecorp.com	3 business days
Fraud / compliance	Legal & Compliance	legal@acmecorp.com	Same day

13.3 Version History

Version	Date	Changes Made	Approved By
1.0	Jan 2022	Initial policy creation	CFO
2.0	Jan 2023	Added vendor status categories	CFO
2.5	Jul 2023	Updated approval thresholds	CFO + Board
3.0	Jan 2024	Added foreign currency section	CFO
3.1	Jun 2024	Updated early payment discount tiers	CFO
3.2	Jan 2025	Added AI-assisted processing guidelines	CFO + Board

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